INDIAN LAW & DEALMAKING · 23 OCTOBER 2026

# Five moves shaping the board now.

- Delhi High Court orders ED asset release
- NCLT admits Vatika IT Parks to CIRP
- SEBI sustains trading curbs on Rajesh Exports
- Pre-adjudication asset releases check ED enforcement excess
- Debenture default rejections cement NCLT strict CIRP standard

SWIPE →

ENFORCEMENT · DELHI HIGH COURT



# Delhi HC orders ED asset release

On 22 October 2026, the Delhi High Court directed the Enforcement Directorate to release seized assets of M3M Group promoters following a Rs 404 crore property attachment. The court ruled that continued asset detention post-attachment lacked legal justification under PMLA provisions.

THE READ

*This ruling sets a firm precedent limiting executive asset retention after initial attachment formalities conclude. Board members should evaluate operational risk exposure from lingering regulatory holds.*

INSOLVENCY · NCLT NEW DELHI



# NCLT admits Vatika IT Parks to CIRP

The NCLT New Delhi Bench initiated Corporate Insolvency Resolution Process against Vatika IT Parks on 22 October 2026 over a Rs 233.75 crore debt default. The tribunal expressly rejected the promoter entity's plea to convert disputed debentures into equity holdings.

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*The decision reinforces judicial refusal to allow debt-to-equity conversions as a defense against monetary default. Dealmakers must ensure debt restructuring clauses are formally executed prior to insolvency filings.*

SECURITIES · SEBI



# SEBI sustains Rajesh Exports curbs

On 23 October 2026, SEBI maintained statutory restrictions and enforcement trading bans against Rajesh Exports and its promoters amid an ongoing financial misrepresentation probe. The regulator cited outstanding governance compliance gaps and incomplete disclosure of overseas subsidiary operations.

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*Market participants face sustained compliance oversight as SEBI prioritizes transparency in consolidated reporting. Counsel must audit related-party financial declarations to pre-empt regulatory curbs.*

ENFORCEMENT · DELHI HIGH COURT



# Delhi HC curtails prolonged ED asset holds

The Delhi High Court on 22 October 2026 mandated the immediate release of M3M Group promoters' assets seized in connection with a Rs 404 crore probe. The judgment emphasized that attachment orders do not grant unconditional authority for indefinite material retention.

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*The decision restricts prolonged investigative retention without ongoing judicial authorization. General counsel can leverage this precedent to secure interim relief against extended asset seizures.*

INSOLVENCY · NCLT NEW DELHI



# NCLT rejects Vatika debenture defense

On 22 October 2026, NCLT New Delhi ordered insolvency proceedings against Vatika IT Parks following a default of Rs 233.75 crore. The bench held that unilateral debenture conversion claims cannot erase an established financial debt under the IBC.

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*Creditors gain leverage as tribunals dismiss unexecuted equity conversion defenses at the admission stage. Strategic investors must review security structures to avoid protracted CIRP litigation.*

THE THROUGH-LINE

Recent rulings demonstrate tightening judicial scrutiny over arbitrary regulatory asset holds while strictly enforcing financial debt obligations in corporate insolvencies. Courts continue to limit executive detention powers post-attachment as tribunals streamline CIRP admissions by rejecting unexecuted restructuring defenses. Boards and dealmakers must navigate heightened SEBI financial disclosure standards alongside stricter debt default enforcement.

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